

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

FORMUKLEEN, INC., *Complainant*

v.

TOP SHIPPING SYSTEMS, CORP., *Respondent*.

DOCKET NO. 25-08

Served: August 28, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

ORDER DENYING MOTION FOR SUMMARY JUDGMENT

I. INTRODUCTION

On July 16, 2025, Complainant filed Complainant's Motion for Summary Judgment ("MSJ"), along with an accompanying Complainant's Statement of Material Facts ("CSMF"). In short, Complainant alleges in its Verified Complaint ("Complaint") that Respondent, a regulated entity, violated the Shipping Act by, among other things, holding two of Complainant's container shipments as collateral for past-due payments, cancelling credit, and refusing to provide information. Complainant argues in its MSJ that Respondent admitted liability in its Verified Answer ("Answer").

Respondent filed Respondent's Response to the Motion for Summary Judgment ("MSJ Response"), Respondent's Response to Complainant's Statement of Material Facts ("RCSMF") and Respondent's Statement of Facts ("RSMF") on August 5, 2025. In its MSJ Response, Respondent argues, among other things, that it was not acting as a regulated entity, and notes that the MSJ contains no allegations regarding reparations.

Complainant filed Complainant's Reply In Support of Motion for Summary Judgment ("Reply"), which the Office of the Secretary accepted for filing on August 26, 2025. The Reply largely reiterates the arguments in the MSJ.

As discussed further below, after considering the documents filed, Complainant's MSJ is **DENIED** without prejudice because the material facts in the record currently do not establish that Respondent was acting as a regulated entity for purposes of the container shipments at issue.

II. UNDISPUTED MATERIAL FACTS

After reviewing the record, including the parties' verified pleadings, as well as the parties' submissions regarding the summary judgment motion, and other materials in the record, I find that the following facts are found to be undisputed and material to the issue of jurisdiction.

1. I take official notice of the fact that Respondent is registered as a non-vessel operating common carrier (“NVOCC”) and an ocean freight forwarder (“OFF”) (license no. 022839) (*see* [Licensed NVOCCs](#); [Licensed Freight Forwarders - Trade Names](#)). (46 C.F.R. § 502.226(a)).
2. The Complaint alleges violations of 46 U.S.C. §§ 41102(c), 41102(d)(B), 41104(a)(4)(E), and 41104(a)(10), as well as 46 C.F.R. 515.32.
3. Respondent admits that it acted as a drayage provider, customs broker, and warehouse operator for the two container shipments at issue. (Answer, at 4).
4. The record contains house bill of lading no. SHHY24110048 (“BL1”), regarding the transportation of Container CSHU404724 from China to Miami, Florida. (MSJ Response, Ex. B). BL1 has a heading showing TopSeaLand International Co., Ltd. (“TopSeaLand”). (*Id.*). BL1 also shows that the shipper is Hotel Guest Amenities Co., Ltd. (“HGA”), that Complainant is the consignee, and that Respondent is the notify party. (*Id.*).
5. The record contains the arrival notice for Container CSHU4047424, which has a heading showing Dolphin Logistics DBA DragonLink USA (“Dolphin Logistics”). (MSJ Response, Ex. B1). The arrival notice has an estimated time of arrival in Miami of January 26, 2025. (*Id.*).
6. Container CSHU4047424 arrived in port on February 2, 2025. (Answer, at 5).
7. Container CSHU4047424 was held in the yard of Respondent’s trucking-partner until February 25, 2025. (Answer, at 5).
8. The record contains bill of lading no. CHN1747451 (“BL2”), regarding the transportation of Container BSIU8431017, from China to Miami, Florida. (MSJ Response, Ex. C). BL2 has a heading showing Qichen Logistics. (*Id.*). BL2 also shows that the shipper is HGA, that Complainant is the consignee, and that Respondent is the notify party. (*Id.*).
9. The record contains a pending telex release for Container BSIU8431017, which has a heading showing DHY Shipping Line Inc. (“DHY”). (MSJ Response, Ex. C1). The telex release shows an estimated time of arrival in Miami of March 21, 2025. (*Id.*).
10. Container BSIU8431017 apparently was at the port and needed to be picked up in late March, 2025. (Answer, at 5).
11. Respondent paid port storage fees and transferred Container BSIU8431017 to its warehouse on or about April 16, 2025. (Answer, at 6). Respondent communicated to Complainant that the goods “will be released once your account has been brought up to date.” (*Id.*).

12. Respondent asked for a check in the amount of \$14,130.35 for duties that have not been paid to U.S. Customs. It is unclear if the duties were for Container BSIU8431017 or another container. (Answer, at 7).
13. Respondent asserts that it had the legal right to impose a warehouse operator's lien over Containers CSHU4047424 and BSIU8431017 for unpaid charges relating to their handling, storage, brokerage, and inland transport. (Answer, at 4).¹

III. LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for summary judgment, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). "The Commission applies the federal summary judgment standard (Fed. R. Civ. P. 56) in deciding parties' motions for summary decision." (*Intermodal Motor Carriers Conference v. OCEMA*, Dkt. No. 20-14, 2024 WL 641501, at *9 (FMC Feb. 13, 2024)).

Pursuant to Federal Rule 56, a party is entitled to the entry of summary judgment if "there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law." (FED. R. CIV. P. 56(a)). A material fact is one that is capable of affecting the outcome of litigation. (*Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986)). "Mere allegations, unsupported by specific facts or evidence beyond the nonmoving party's own conclusions, are insufficient to withstand a motion for summary judgment." (*Thomas v. Corwin*, 483 F.3d 516, 527 (8th Cir. 2007) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986))). If the non-movant's evidence is "merely colorable" or "not significantly probative," summary judgment may be granted. (*Liberty Lobby*, 477 U.S. at 249-50 (1986)).

A party asserting that a fact cannot be or is genuinely disputed must support the assertion by: "(A) citing to particular parts of materials in the record, including depositions, documents, electronically stored information, affidavits or declarations, stipulations (including those made for purposes of the motion only), admissions, interrogatory answers, or other materials[.]" (FED. R. CIV. P. 56(c)).

Further, the existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. (*Anderson*, 477 U.S. at 247-48). "Where the record taken as a whole could not lead a rational trier of fact to find for the nonmoving party, there is no 'genuine issue for trial.'" (*Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted)). However, the inferences to be drawn from the

¹ Complainant argues that because Respondent's RCSMFs do not contain specific factual citations denying the factual assertions in Complainant's CSMF, the factual assertions in the CSMF are deemed admitted per the protocol set forth in the Initial Order. (Reply, at 15-21). In general, Complainant is correct. It does not matter here, however. Complainant's MSJ is based on facts already admitted in Respondent's Answer. Therefore, I cite to Respondent's Answer.

underlying facts must be viewed in the light most favorable to the non-moving party. (*Id.*, at 587).

IV. DISCUSSION

The Complaint alleges violations of 46 U.S.C. §§ 41102(c), 41102(d)(B), 41104(a)(4)(E), and 41104(a)(10), as well as 46 C.F.R. § 515.32. (Undisputed Material Facts (“UMF”), ¶ 2). All of these sections require conduct by a regulated entity, either a common carrier (“OCC”), marine terminal operator (“MTO”), or an ocean transportation intermediary (“OTI”). In particular, § 41102(c) provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” (46 U.S.C. § 41102(c)). Likewise, § 41102(d)(2)(B) states that a “common carrier, marine terminal operator, or ocean transportation intermediary” may not retaliate against a shipper by refusing or threatening to refuse an otherwise-available cargo-space accommodation, or resort to any other unfair or unjustly discriminatory action for “any other reason.” (46 U.S.C. § 41102(d)(2)(B)). Section 41104(a)(4)(E) states that a “common carrier, either alone or in conjunction with any other person, directly or indirectly,” shall not “for service pursuant to a tariff,” engage in any unfair or unjustly discriminatory practice in the matter of “adjustment and settlement of a claim.” (46 U.S.C. § 41104(a)(4)(E)). Similarly, § 41104(a)(10) provides that a common carrier shall not “unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” (46 U.S.C. § 41104(a)(10)). Finally, the cited regulation, 46 C.F.R. § 515.32, provides, in relevant part, that “[n]o licensed freight forwarder shall withhold any information concerning a forwarding transaction from its principal. . . .” (46 C.F.R. § 515.32(c)).

Complainant alleges that Respondent was an NVOCC and an OFF, and therefore the Commission has jurisdiction over the claims here. (Complaint, at 2).

It is not enough for a respondent to be registered with the Commission as an NVOCC or OFF for the Commission to have jurisdiction. The respondent must be acting as a regulated entity in relation to the conduct at issue for the Commission to have jurisdiction. (*See Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. App’x. 347, 347-48 (9th Cir., 2015) (holding that the Commission lacked jurisdiction where the respondent city, which provided terminal facilities to common carriers, was not an MTO as to a dispute arising out of the city’s fish dock); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity – common carrier, marine terminal operator, or OTI – with respect to the conduct at issue.”)). Claims against non-regulated entities are appropriately dismissed. (*TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-09, 2025 WL 1675704, at *4 (ALJ Jun. 2, 2025) (*Notice Not to Review*, July 3, 2025)).

Here, Respondent is a registered OFF. (*See UMF*, ¶ 1). Complainant, however, does not demonstrate that Respondent acted as an OFF in relation to the two containers at issue. The Shipping Act defines an OFF as a person in the United States that “dispatches shipments from the United States via common carrier and books or otherwise arranges space for those shipments on behalf of shippers” and “processes the documentation or performs related activities incident

to those shipments.” (46 U.S.C § 40102(19)). The bills of lading in the record show that the two containers were both imported from China. (UMF, ¶¶ 4, 8). Because the containers were imported, Respondent apparently did not act as a person who dispatched shipments from the United States. Without more information, I cannot conclude that Respondent acted as an OFF with respect to the two shipments. (*Petra Pet, Inc. v. Panda Logistics, Ltd.*, Dkt. 11-14, 2013 WL 9808694, at *3 (FMC Oct. 31, 2013) (affirming the ALJ’s finding that a respondent was not an OFF because the shipment at issue the shipments at issue were dispatched to the United States)).

Similarly, although Respondent is a registered NVOCC, I find that Complainant has not demonstrated that there is no genuine issue of material fact as to whether Respondent was acting as an NVOCC. An NVOCC is defined as a common carrier that does not operate the vessels by which the ocean transportation is provided, and “is a shipper in its relationship with the ocean carrier.” (46 U.S.C § 40102(17)). In turn, a common carrier is:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)). A shipper is a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’ association, or an NVOCC that accepts responsibility for payment of all charges applicable under the tariff or service contract. (46 U.S.C § 40102(23)).

In *Worldwide Relocations, Inc., Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 As Well As The Commission’s Regulations* at 46 C.F.R. 515.13, 515.21, and 520.3, Dkt. No. 06-01, 2012 WL 11914713 (FMC, Mar. 15, 2012) (“*Worldwide Relocations*”), the Commission discussed whether several entities that were not licensed or bonded as NVOCCs had acted like NVOCCs. Among other things, the Commission noted that whether an entity acts as an NVOCC is a “fact intensive inquiry[,]” that documentary labels alone are not determinative, and that the resolution of this question requires an examination of each entity’s conduct on a particular shipment. (*Worldwide Relocations*, 2012 WL 11914713, at *5) (citations omitted)). The Commission then addressed the statutory elements of the definition of “common carrier,” noting that the first element is whether the entity holds itself out as a common carrier, the second is whether the entity assumes responsibility for transportation, and third is the use of a vessel. (*Id.*, at *6-*8). The Commission noted that the final element is usually straightforward, and often not in issue. (*Id.* at *8). As for “holding out,” the Commission noted that facts to consider include, among other things, the entity’s advertisements, as well as whether it has a tariff. (*Id.*, at *6). In considering the “assumes responsibility” factor, the Commission

looked to, among other things, the description of an NVOCC's services in the Commission's regulations. (*Id.*, at *8 (citing 46 C.F.R. § 515.2)). As an example, the Commission stated that if a bill of lading clearly identifies the proprietary shipper, it could result in a finding that the respondent entity did not assume responsibility for the shipment in question. (*Id.*, at *9).

The Commission's regulations identify services that are usually provided by an NVOCC:

(k) Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

(46 C.F.R. § 515.2(k)).

Here, Respondent is registered as an NVOCC. (UMF, ¶ 1). Beyond its registration, Complainant asserts that Respondent admits it acted as an NVOCC. Complainant asserts that Respondent admits to arranging for inland transportation of the containers, warehousing shipments, and advancing freight-related charges in connection with cargo moving in international commerce. (MSJ, at 5; Reply, at 9-13). It also admits that it imposed control over the two containers at issue. (MSJ, at 6 (citing Answer, at 4); Reply, at 8, 10-13). Further, Respondent admits to acting as a drayage provider, and performing at least some inland

transportation, as it had the containers moved either to its partner's warehouse or its own. (MSJ, at 6 (citing Answer, at 1, 4-5), Reply, at 12). Moreover, Respondent admits to paying port storage fees. (MSJ, at 6 (citing Answer, at 4); Reply, at 12). Finally, though not pointed out by Complainant, Respondent apparently also had some role in clearing shipments with customs. (UMF, ¶ 12). Thus, I agree with Complainant that Respondent admits to providing at least some services that an NVOCC would provide, such as assisting with clearing shipments in accordance with government regulations, arranging for at least some inland transportation, coordinating some movement of shipments between the vessel and the destination, and making some payments on Complainant's behalf. (See 46 C.F.R. § 515.2(k)(5), (6), (8), and (11)).

The Commission in *Worldwide Relocations*, however, noted that whether an entity acted as an NVOCC in relation of a particular shipment is a fact intensive inquiry. (*Worldwide Relocations*, 2012 WL 11914713, at *5) (citations omitted). Reviewing the totality of the facts, there are some facts that indicate that Respondent did not act as an NVOCC regarding the container shipments. Respondent apparently did not issue the bills of lading or other documents in the record. Both BL1 and BL2 appear to have been issued by entities other than Respondent, *i.e.*, BL1 was apparently issued by TopSeaLand, and BL2 appears to have been issued by Qichen Logistics. (UMF, ¶¶ 4, 8). Similarly, the arrival notice related to Container CSHU4047424 appears to have been issued by Dolphin Logistics, and the telex related to Container BSIU8431017 appears to have been issued by DHY. (UMF, ¶¶ 5, 9). The shipper on both BL1 and BL2 is HGA. (UMF, ¶¶ 4, 8). These facts suggest that Respondent was not an NVOCC. (See 46 C.F.R. § 515.2(k)(4); *see also* (46 U.S.C § 40102(17)(B) (stating that an NVOCC is a "shipper in its relationship with an ocean common carrier."))).

In addition, there are other facts that are unknown, which could clarify whether Respondent acted as an NVOCC for purposes of this matter. For example, there is no indication that Respondent here purchased transportation services, such as cargo space, from a common carrier and offered it for resale, or paid port-to-port charges, or entered into any agreement with the underlying shipper, who was apparently HGA. (See 46 C.F.R. § 515.2(k)(1), (2), and (3)). Likewise, while Respondent is a registered NVOCC, there is no information in the record regarding how Respondent holds itself out as an NVOCC, *e.g.*, there is no information about advertising it does, nor is there any tariff information. (46 U.S.C § 40102(7)(A) (stating that a "common carrier" is a person that "holds itself out to the general public to provide transportation by water" of "cargo. . . ."))).

In short, the record contains some facts that suggest that Respondent acted as an NVOCC for purposes of the two container shipments at issue. The record also contains facts that indicate that Respondent was not acting as an NVOCC as to the shipments at issue. And the record does not provide an answer regarding other potentially relevant facts. Therefore, based on the record currently, Complainant has not demonstrated that there is no genuine issue of material fact as to whether Respondent acted as an NVOCC as to the shipments at issue, and summary judgment is therefore improper at this time. Complainant's MSJ is **DENIED**. I note, however, that the

discovery period is open until December 5, 2025,² or more than three months from the entry of this Order. (*See* Scheduling Order). Therefore, the MSJ is denied without prejudice.³

Complainant asserts that if there are discrete factual issues, the Commission may issue partial summary disposition on liability. (Reply, at 7). I do not agree. As noted, whether a party is a regulated entity is a threshold issue. I cannot find a violation of the Shipping Act without first finding that Respondent acted as an NVOCC in relation to the conduct at issue in this case. Moreover, because the issue of whether Respondent acted as a regulated entity is a threshold matter, it is not necessary for me to discuss any other issues raised by the MSJ, such as whether the elements of a claim under § 41102(c) are satisfied.

As noted, discovery is scheduled to conclude on December 5, 2025. Considering the fact-intensive nature of the issues to be resolved in this matter, the parties should plan on attending a status conference on December 9, 2025, at 11:00 a.m. eastern time via Teams to discuss whether an in-person evidentiary hearing will be necessary to resolve the issues in this case. A link to the Teams meeting will be provided to the parties a few days before the status conference.

V. CONCLUSION

Complainant's MSJ is **DENIED** without prejudice because the material facts in the record currently do not establish that Respondent was acting as a regulated entity for purposes of the container shipments at issue.

Richard C.

Ambrow Jr -S

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Richard Ambrow

Administrative Law Judge

² Complainant suggests that the determination of liability and reparations occur in separate proceedings. (Reply, at 23). That is not necessarily true. For example, in *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, Dkt. No. 21-11, 6 F.M.C. 2d 167, 2023 WL 3969857 (ALJ Jun. 7, 2023) (*aff'd in relevant part* Aug. 27, 2024; *denying petition for reconsideration* Jun. 27, 2025), Chief Judge Wirth issued an Initial Decision that determined liability, awarded reparations, and imposed a double-damages penalty pursuant to 46 U.S.C. § 41305(c). Regardless, the parties should be conducting discovery regarding actual injury and quantum of reparations in the event of a finding of liability.

³ Respondent argues that I may appropriately grant summary judgment in its favor. Respondent, however, did not move for summary judgment. Therefore, I do not consider summary judgment for Respondent presently. In any event, Respondent makes factual assertions that do not have support in the record. (*See, e.g.,* RCSMF, at 2 (“... the container was pulled by Sea Blue Freight Container, Inc. . . .”)).